Q2(b) What are the major steps involved in project appraisal and project selection? (10 Marks)

Introduction

Project appraisal is the process of checking whether a project is useful, possible, and profitable.

Project selection is the process of choosing the best project from different available options.

Eng-Tel meaning: Oka project start cheyadam manchidhena kadha ani check cheyadam appraisal. Different projects lo best project ni select chesukovadam selection.

A. Steps Involved in Project Appraisal

1. Technical Appraisal

It checks whether the project can be completed using the available technology, machines, equipment, and skilled workers.

Eng-Tel: Project ni complete cheyadaniki required technology, machines, workers unnaya ani check cheyadam.

2. Market Appraisal

It studies the demand for the product or service, customer needs, competitors, and market conditions.

Eng-Tel: Mana product ni customers konadaniki interest chupisthara? Market lo demand undha? Ani check cheyadam.

3. Financial Appraisal

It estimates the total investment, operating costs, expected income, and profit of the project.

Eng-Tel: Project start cheyadaniki entha money kavali? Entha income vasthundhi? Profit vasthundha? Ani calculate cheyadam.

4. Economic Appraisal

It checks whether the project benefits the economy and society, including employment opportunities and the use of resources.

Eng-Tel: Project valla society ki jobs create avuthaya? Local development ki help avuthundha? Ani check cheyadam.

5. Environmental Appraisal

It examines the project's effect on the environment, such as pollution, waste, and resource consumption.

Eng-Tel: Project valla air, water, environment ki harm avuthundha ledha ani check cheyadam.

6. Risk Appraisal

It identifies possible problems that may affect the project, such as financial loss, competition, delays, or changes in demand.

Eng-Tel: Project lo loss ravadaniki or work late avvadaniki chances unnaya ani mundhe identify cheyadam.

B. Steps Involved in Project Selection

1. Identify Project Alternatives

List the different projects or business ideas available.

Eng-Tel: Manaki unna different project ideas anni list cheyadam.

2. Set Selection Criteria

Decide the important factors for choosing a project, such as cost, profit, time, and available resources.

Eng-Tel: Project choose cheyadaniki money, profit, time lanti important conditions decide cheyadam.

3. Evaluate the Projects

Compare all the projects based on the selected criteria and appraisal results.

Eng-Tel: Prathi project ni cost, profit, risk lanti points tho compare cheyadam.

4. Rank the Projects

Arrange the projects from the most suitable to the least suitable based on their performance.

Eng-Tel: Best project ki first rank ichi, migatha projects ki tarvatha ranks ivvadam.

5. Select the Best Project

Choose the project that meets the objectives, budget, and available resources.

Eng-Tel: Mana goal, budget ki suitable ga unna best project ni final ga select chesukovadam.

6. Final Approval

Obtain approval from the concerned management or authorities before starting the project.

Eng-Tel: Project start cheyadaniki management or responsible persons permission teesukovadam.

Conclusion

Project appraisal helps to determine whether a project is feasible and worthwhile, while project selection helps to choose the most suitable project. Both processes reduce risk and support successful project implementation.

Eng-Tel: Appraisal project manchidhena kadha ani telusukovadaniki help chesthundhi. Selection best project ni choose chesukovadaniki help chesthundhi. Ee rendu successful project kosam important.

Quick revision for the exam

Difficult word	Easy meaning
Appraisal	Checking a project
Selection	Choosing the best option
Feasibility	Whether something is possible
Investment	Money put into a project
Criteria	Rules or factors used for choosing
Evaluate	Check and compare
Rank	Give a position or order
Approval	Official permission

Bro, exam tip: Introduction + appraisal steps + selection steps + conclusion rayi. Each heading kindha 2–3 simple sentences explain chesthe answer neat ga untundhi.

Our progress: Question 2(b) — 🟡 Answer prepared; revision and understanding pending. Inka complete ga gurthupettukunnaka matrame ✅ mark cheddham.

Okay bro 👍 Good decision! Manam Question 3A first complete ga nerchukundham, tarvatha Question 3B (NPV) nerchukundham. Appudu rendu compare chesi neeku easy anipinchindhi select chesukovachu.

Question 3(a) — 10 Marks

Explain the project selection process.

1. Introduction

Project selection is the process of choosing the best project from several available projects based on the organization's goals, budget, resources, and expected benefits.

Eng-Tel explanation: Manaki multiple project ideas unnappudu, mana budget and goals ki suitable ga unna best project ni choose chesukovadame project selection.

2. Identify Project Opportunities

The first step is to identify different project ideas or opportunities that can solve a problem or meet a need.

Eng-Tel: Em projects cheyochu? Ye problems solve cheyochu? Ani different ideas identify cheyyadam.

Example: Bakery, restaurant, or grocery shop start cheyyadam.

3. Define Project Objectives

Clearly identify what the project aims to achieve. Objectives may include earning profit, improving services, or solving a problem.

Eng-Tel: Project start cheyadam venuka mana goal enti anedhi clear ga decide cheyyadam.

Example: Bakery start chesi monthly profit earn cheyyadam.

4. Set Selection Criteria

Selection criteria are the important factors used to compare different projects, such as cost, profit, time, risk, and resource availability.

Eng-Tel: Projects ni compare cheyadaniki use chese rules or important factors ni selection criteria antaru.

Example: Mana budget ₹5 lakhs lopu undali ani decide cheyyadam.

5. Collect Project Information

Gather information about the cost, market demand, resources, time, and expected benefits of each project.

Eng-Tel: Prathi project gurinchi required information collect cheyyadam.

Example: Bakery ki customers enthamandhi untaru, equipment cost entha ani telusukovadam.

6. Evaluate the Projects

Evaluate each project by comparing its advantages, disadvantages, costs, benefits, and risks.

Eng-Tel: Prathi project lo advantages enti, disadvantages enti, profit vasthundha, risk entha ani check cheyyadam.

7. Analyze Project Feasibility

Feasibility means checking whether the project is possible and practical with the available money, technology, skills, and time.

Eng-Tel: Mana daggara unna resources tho project ni successfully complete cheyagalama ledha ani check cheyyadam.

8. Rank the Projects

Arrange the projects from the most suitable to the least suitable based on the evaluation results and selection criteria.

Eng-Tel: Compare chesina tarvatha best project ki first rank ichi, migatha projects ki next ranks ivvadam.

9. Select the Best Project

Choose the project that best meets the objectives and provides suitable benefits within the available budget and resources.

Eng-Tel: Mana goal ki, budget ki, resources ki suitable ga unna project ni final ga choose chesukovadam.

10. Final Approval and Implementation

Obtain approval from the management or responsible authorities and then prepare to start the selected project.

Eng-Tel: Project start cheyadaniki management permission teesukoni, project work start cheyyadaniki arrangements chesukovadam.

Conclusion

Project selection is an important process that helps an organization choose the most suitable project. It reduces unnecessary risks, uses resources effectively, and increases the chances of project success.

Eng-Tel: Correct project ni select chesukovadam valla money and resources waste kakunda project successful ayye chances peruguthayi.

Quick revision — Same side headings

1. Introduction
2. Identify Project Opportunities
3. Define Project Objectives
4. Set Selection Criteria
5. Collect Project Information
6. Evaluate the Projects
7. Analyze Project Feasibility
8. Rank the Projects
9. Select the Best Project
10. Final Approval and Implementation
11. Conclusion

Progress: Question 3(a) — Answer prepared; learning/revision pending.

Bro, next manam Question 3(b): Explain Net Present Value (NPV) with an example nerchukundham. Adhi formula and calculation tho untundhi, so simple example tho explain chestha.

Okay bro ❤️ Let's see Question 4(a) first. Manam easy English lo complete 10-mark answer prepare cheddham, difficult words ki Eng-Tel meanings kuda isthanu.

Q4(a) Explain the different types of projects and suitable management strategies.

1. Introduction

A project is a temporary activity carried out to achieve a specific goal within a given time and budget. Projects differ based on their purpose, size, complexity, and requirements.

Eng-Tel: Oka particular goal achieve cheyadaniki, fixed time and budget tho chese work ni project antaru.

2. Types of Projects

1. Construction Projects

These projects involve building houses, roads, bridges, and buildings. They require proper planning, materials, workers, and safety measures.

Eng-Tel: Houses, roads, bridges construct cheyadam construction projects.*

Management strategy: Prepare a schedule, manage materials and workers, and follow safety rules.

2. Manufacturing Projects

These projects involve producing new products or improving production processes in factories.

Eng-Tel: Factory lo products manufacture cheyadam.*

Management strategy: Control production costs, maintain product quality, and manage raw materials.

3. IT and Software Projects

These projects involve developing websites, mobile applications, and software systems.

Eng-Tel: Websites, apps, software develop cheyadam.*

Management strategy: Divide work into smaller tasks, test software regularly, and communicate with the development team.

4. Research and Development Projects

These projects focus on discovering new knowledge, developing new products, or improving existing technologies.

Eng-Tel: Kotha ideas, technologies, products ni research chesi develop cheyadam.*

Management strategy: Encourage innovation, conduct experiments, and review results regularly.

5. Organizational Projects

These projects aim to improve an organization's internal processes, structure, or working methods.

Eng-Tel: Company lo working methods or management system improve cheyadam.*

Management strategy: Set clear objectives, assign responsibilities, and monitor progress.

6. Social Projects

These projects aim to improve society through education, healthcare, sanitation, and environmental protection.

Eng-Tel: Society ki help cheyadaniki chese projects.*

Management strategy: Involve local communities, use funds carefully, and measure social benefits.

3. Suitable Project Management Strategies

1. Proper Planning

Define project objectives, activities, budget, and deadlines before starting the work.

Eng-Tel: Project start cheyyakamundhe plan prepare cheyyadam.*

2. Resource Management

Use money, materials, equipment, and workers effectively.

Eng-Tel: Available resources ni waste cheyakunda correct ga use cheyyadam.*

3. Time Management

Prepare schedules and complete activities within the planned time.

Eng-Tel: Work ni time ki complete cheyyadam.*

4. Risk Management

Identify possible problems in advance and prepare solutions.

Eng-Tel: Future lo ravachu anukunna problems ni mundhe identify chesi solutions ready ga pettukovadam.*

5. Quality Management

Check whether the project meets the required standards.

Eng-Tel: Project output required quality lo undho ledho check cheyyadam.*

6. Communication and Monitoring

Maintain regular communication among team members and check project progress.

Eng-Tel: Team members madhya information share cheskuntu work entha complete ayyindho check cheyyadam.*

Conclusion

Different projects have different goals and requirements. Selecting suitable management strategies helps complete projects within time and budget while maintaining quality and achieving the desired objectives.

Eng-Tel: Project type batti correct management strategy follow ayithe project successful ga complete cheyochu.*

Quick revision — Same side headings

Introduction

Types of Projects

1. Construction Projects
2. Manufacturing Projects
3. IT and Software Projects
4. Research and Development Projects
5. Organizational Projects
6. Social Projects

Suitable Project Management Strategies

1. Proper Planning
2. Resource Management
3. Time Management
4. Risk Management
5. Quality Management
6. Communication and Monitoring

Conclusion

Progress: Question 4(a) — 🟡 Answer prepared; learning/revision pending.

Bro, now we can see Question 4(b) also and then you can decide which one is easier to study.

Okay bro 👍 Set-wise ga separate chesi prepare cheddham. First Set 1 complete chestham, tarvatha Set 2 ki veldham. One set lo unna 5 short answers anni okesari isthanu.

Set 1 — Part-A (2 Marks Each)

1(a) What is a project proposal?

A project proposal is a written document that explains a project's objectives, plan, budget, time, and expected benefits. It is prepared to obtain approval for the project.

Eng-Tel: Project lo em cheyyali, entha money kavali, entha time paduthundhi ane details unna document.

1(b) Explain the 80–20 rule and its significance in project management.

The 80–20 rule, also called the Pareto principle, states that approximately 80% of results may come from 20% of causes or activities. It helps managers identify important tasks and use resources effectively.

Eng-Tel: Konni important activities valla ekkuva results vasthayi. Anduke important tasks meedha focus cheyyadaniki ee rule help chesthundhi.

1(c) How can SWOT analysis be used to evaluate a project or business?

SWOT analysis evaluates a project by identifying its Strengths, Weaknesses, Opportunities, and Threats. It helps managers understand the project's advantages, limitations, growth opportunities, and possible risks.

Eng-Tel: Project lo positive points, negative points, future opportunities, possible problems identify cheyadam.

1(d) Define Net Present Value (NPV).

Net Present Value (NPV) is the difference between the present value of future cash inflows and the initial investment and other cash outflows.

Formula:

$$ NPV=PV\text{ of inflows}-PV\text{ of outflows} $$

Eng-Tel: Future lo vache money present value nunchi invest chesina money and other expenses subtract cheyadam.

1(e) Which factors are considered in project abandonment analysis?

Project abandonment analysis considers project losses, operating costs, future cash flows, market conditions, remaining investment, and the cost of closing the project. It helps decide whether to continue or stop a project.

Eng-Tel: Project continue cheyyala leka stop cheyyala ani decide cheyadaniki losses, costs, future income, market conditions lanti factors check chestharu.

Set 1 — Quick revision

Q.No.	Topic	Key words to remember
1(a)	Project Proposal	Objectives, plan, budget, approval
1(b)	80–20 Rule	Pareto principle, important tasks
1(c)	SWOT Analysis	Strengths, Weaknesses, Opportunities, Threats
1(d)	NPV	Present value of inflows − outflows
1(e)	Project Abandonment	Losses, costs, future cash flows, stop or continue

✅ Set 1 answers prepared

Bro, ippudu Set 2 — Part-A ki veldham.